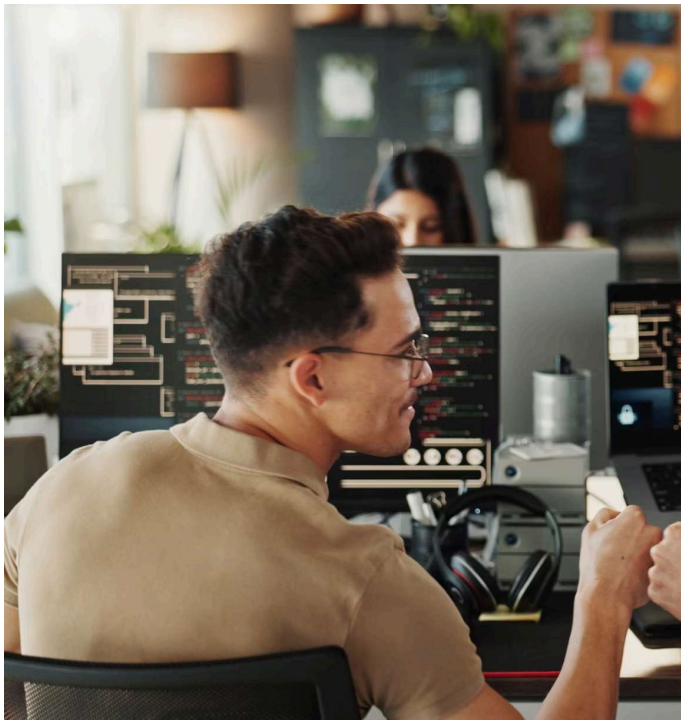
Artificial Intelligence Compute and servers IT a

How to maximize AI



By Ivan Belcic , Cole Stryker

According to a summer 2025 MIT rep
failing.[1] This is a sobering figure, given
invested. The stakes are astronomical

So why are most businesses struggling to profit
through the hype to achieve business objective

It turns out that having technological AI capabil
leaders jumped on the AI bandwagon in a FOM
ahead of their competitors. Others envisioned e
for every nail. Achieving positive ROI on an AI t
approach.

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Why AI ROI is hard t

Since the generative AI boom erupted in late 2
initiatives. Leaders have been on the hunt for s
operations, inform data-driven decision-makin
development. Now, AI agents are the hot topic.
remains elusive. Here's why:

It's not the technology, it'
reality

According to discussions from IBM's Q4 2025 T
technology problem, but an organizational one.
strategy are the main constraints on realizing R
collide with internal realities long before techni

It's hard to measure

The Think Circle report highlights that although
reliably measure ROI today—with only about 29
Meanwhile, 79% see productivity gains, meanir
short-term productivity into financial impact is

Investment has outpaced

An IBM CEO study found that only around 25%
have scaled enterprise-wide, and CEOs are bala
term innovation goals. This supports the broade
experimentation first, value realization second.
cycles.

ROI depends on strategic pilots

It's still early days, and many AI deployments a
is OK, because early experimentation should be
applications of AI that will yield massive ROI in
in deeper integration into core workflows throu
projects.

Technical debt remains a

IBM research shows that paying down technica
by up to 29% because it reduces friction and re
where they need to be in their digital transform
integration. Technical debt remains a hurdle, bu

The latest AI trends, bro

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Measuring AI ROI

ROI calculations can be difficult because many
indirect and don't materialize in the short term.
streamline data analysis and data visualization
informed decisions, those results might not be

The real-time ROI of AI adoption is often challe
might be deceiving. A company that announces
workforce with AI might see a quick bump in sh
customers and employees will ultimately react.

Hard ROI vs soft ROI of A

Financial analysts divide ROI into two categorie

- **Hard ROI** covers tangible effects directly rel automate IT can lead to fewer outages and efficiency and improving customer satisfacti

- **Soft ROI** includes other benefits that, while for the organization. These can include incre customer experience. For example, employe companies choose an ethical approach to A

Key metrics for AI RC

Because ROI is a measurement, it requires num The key metrics for AI ROI, both hard and soft, (KPIs) that can be measured and quantified. Ch

Why AI ROI is hard to realize Measuring AI

Hard ROI KPIs for AI

Hard ROI KPIs pertain to concrete financial dat

KPIs relevant to cost savings include:

- **Labor cost reductions** such as hours saved productivity when using AI tools.

- **Operational efficiency gains** such as a redu streamlined AI workflows.

KPIs relevant to increased profits include:

- **Increased traffic, lead generation and con** engagement, data-driven marketing persona recommendation engines.

- **Revenue growth and new revenue stream** development cycles and new business oppo

Soft ROI KPIs for AI

Soft ROI KPIs are less straightforward to measu
term, but tend to affect long-term organizationa
surveys and qualitative research initiatives and

- **Employee satisfaction and retention** linkec
  successfully overcoming internal AI adoptio
  sustainability in AI.
- **Better decision-making** as executives and t
  less time with the use of AI-powered data a
- **Improved customer satisfaction**, such as if
  churn or by using an AI customer experienc
  inquiries.

AI Academy

From pilot to production: Drivir

Learn how your organization can harne
scale to reinvent and transform your b
needle.

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Strategies for optimi:

The IBM Institute for Business Value has under
and teams can achieve optimal financial return:
industry-specific, teams in any sector can gene
needs.

Maximizing AI ROI in proc

Product development teams that followed the t
significant" extent reported a median ROI on ge
results should incorporate the following practic

1. **Celebrate feedback:** An AI transformation i
   stakeholder feedback helps personnel feel c
   wasted time and resources on ineffective pr

2. **Work iteratively:** Introduce AI into the proc
   prevent fatigue and reduce risk. Tweak AI in
   works and what is ineffective. AI scaling is o
   once.

3. **Learn from user data:** Mine and analyze use
   generative AI technologies can bring the mo
   quantity. Rather than attempting to actively
   to meet users where they are.

4. **Build multidisciplinary teams:** Take advant
   to reduce bottlenecks. Cross-functional tear
   leads to communication blockers and projec

Optimizing AI ROI for the
(CSC)

Organizations that adopt a holistic big-picture v
higher for CSC development and 30% for genAI
with AI and CSC:

1. **Adopt a bird's eye view to prioritize effect**
   learning touches the CSC, including strategi
   proactive change management. Note the int
   departments and focus on AI use cases with

2. **Don't neglect change management:** Introd
   simple, especially when they are as polarizir
   success of a new AI initiative. A cross-functi
   change can keep enthusiasm high throughou

3. **Minimize risk to unleash creativity:** AI risk
   when teams don't need to worry about the A
   care of low-risk routine tasks so that creativ
   content.

Thinking beyond ROI

Although the rate of innovation in the AI space i
more advantageous for firms to think of this per
than with an eye toward ROI. Nvidia CEO Jense
Summit in February. He compared forcing engir
to asking a child to make a business plan for a h

"When your kids tell you they want to try somet
questions at home like 'What is the return on in

This approach will require leaders to obtain wid
an understanding that ROI might yet be years a
ROI evaluation risks missing transformative opp

Furthermore, Huang also advised companies to
infrastructure rather than relying entirely on thi
grasp what works and what doesn't.

"Let a thousand flowers bloom," said Huang, er
experimentation rather than rigidly filtering idea
easy to convince financial stakeholders, but hov
innovator now worth USD 4 trillion?

Authors

Ivan Belcic
Staff writer

Ebook

Start realizing ROI: A practical guide to agentic AI

Discover ways to get ahead, successfully scaling AI across your business with real results.

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Resources

IBV Report

The enterprise in 2030: Engineered for perpetual innovation

Discover our five predictions about what will define the most successful enterprises in 2030, and the steps leaders can take to gain an AI-first advantage.

Read the report →

2026 AI Agents buyer's guide

How AI agents and assistants can benefit your organization

Dive into this comprehensive guide that breaks down key use cases, core capabilities and step-by-step recommendations to help you choose the right solutions for your business.

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Guidebook

Unlock AI ROI: A tactical guide to enterprise productivity

Learn proven strategies to boost productivity and power enterprise transformation with AI and innovation at the core.

Insight

Scale your enterprise AI capabilities

Unlock 4 strategies to scale AI with a strong data foundation.

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Report

From AI projects to profits: How agentic AI can sustain financial returns

Learn how organizations are shifting from launching AI in disparate pilots to using it to drive transformation at the core.

Read the report →

Ebook

Start realizing ROI: A practical guide to agentic AI

Discover ways to get ahead, successfully scaling AI across your business with real results.

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Techsplainers Podcast

Agentic AI explained

Techsplainers by IBM breaks down the essentials of agentic AI, from key concepts to real-world use cases. Clear, quick episodes help you learn the fundamentals fast.

Listen now →

Guide

The CEO's guide to generative AI

Learn how CEOs can balance the value generative AI can create against the investment it demands and the risks it introduces.

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Ebook

Introducing agile AI: A practical guide

Learn an agile AI approach that enables organizations to innovate quickly and reduce the risk of failure.

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Ebook

Unlock the power of generative AI and ML

Learn how to incorporate generative AI, machine learning and foundation models into your business operations for improved performance.

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Guide

Put AI to work: Driving ROI with gen AI

Want to get a better return on your AI investments? Learn how scaling gen AI in key areas drives change by helping your best minds build and deliver innovative new solutions.

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Video

The rise of generative AI and what it means for business

Learn about the history of AI and explore what the future holds for enterprises considering AI adoption.

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Guide

How to thrive in this new era of AI with trust and confidence

Dive into the 3 critical elements of a strong AI strategy: creating a

competitive edge, scaling AI across the business and advancing trustworthy AI.

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IBM® watsonx Orchestrate®
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Explore watsonx Orchestrate

Explore watsonx.ai

Footnotes

1. The GenAI Divide — State of AI in Business 2025 , Challapally *et al.*, MIT NANDA, July 2025

2. "Jensen Huang says demanding ROI from AI is like forcing a child to make a business plan ," Lichtenberg, Nick, Fortune, February 4, 2026